TOY STORY AIRWAYS

To Infinity and Beyond

2025

Annual Report

Flying with courage, imagination, and a little bit of magic

For the year ended 30 June 2025

Woody — Chairman   Buzz Lightyear — Chief Executive

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Directors’ Statement

The directors of Toy Story Airways Limited are pleased to present to shareholders the Annual Report* and financial statements for Toy Story Airways Limited and its controlled entities (together the “Group”) for the year ended 30 June 2025.

The directors are responsible for presenting financial statements in accordance with New Zealand law and generally accepted accounting practice, which give a true and fair view of the financial position of the Group as at 30 June 2025 and the results of the Group’s operations and cash flows for the year ended on that date.

The directors consider the financial statements of the Group have been prepared using accounting policies which have been consistently applied and supported by reasonable judgements and estimates and that all relevant financial reporting and accounting standards have been followed.

The directors believe that proper accounting records have been kept in accordance with the requirements of the Financial Markets Conduct Act 2013.

The directors consider that they have taken adequate steps to safeguard the assets of the Group, and to prevent and detect fraud and other irregularities. Internal control procedures are also considered to be sufficient to provide a reasonable assurance as to the integrity and reliability of the financial statements.

This Annual Report is signed on behalf of the Board by:

Woody
Chairman
Date:

Buzz
Chief Executive
Date:

Statement of Financial Performance

	2025$M	2024$M
Passenger revenue	4,481	4,113
Cargo	349	317
Contract services	172	258
Other revenue	229	237
Total Operating Revenue	**5,231**	**4,925**
OPERATING EXPENDITURE		
Labour	(1,225)	(1,193)
Fuel	(846)	(1,089)
Maintenance	(350)	(320)
Aircraft operations	(531)	(466)
Passenger services	(246)	(220)
Sales and marketing	(348)	(303)
Foreign exchange gains	112	79
Other expenses	(255)	(252)
Total Operating Expenditure	**(3,689)**	**(3,764)**
Operating Earnings (excluding items below)	**1,542**	**1,161**
Depreciation and amortisation	(465)	(402)
Rental and lease expenses	(244)	(211)
EARNINGS BEFORE FINANCE COSTS		
Finance income	53	56
Finance costs	(100)	(108)
Share of earnings of associates (net of taxation)	20	(22)
Earnings Before Other Significant Items and Taxation	**806**	**474**
Other significant items	(143)	—
Earnings Before Taxation	**663**	**474**
Taxation expense	(200)	(147)
Net Profit Attributable to Shareholders of Parent Company	**463**	**327**
Per Share Information:	—	—
Basic earnings per share (cents)	41	29
Diluted earnings per share (cents)	41	29
Interim and final dividends declared per share (cents)	20	16
Special dividend declared per share (cents)	25	—
Net tangible assets per share (cents)	176	166

Statement of Comprehensive Income

	NOTE	2025$M	2024 $M
Net Profit for the Year	—	463	327
Other Comprehensive Income:	—	—	—
Items that will not be reclassified to profit or loss:	—	—	—
Changes in fair value of investment in quoted equity instruments	—	—	(5)
Actuarial (losses)/gains on defined benefit plans	—	(11)	3
Taxation on above reserve movements	—	33	(5)
Total items that will not be reclassified to profit or loss	—	(8)	(2)
Items that may be reclassified subsequently to profit or loss:	—	—	—
Changes in fair value of cash flow hedges	—	(52)	23
Transfers to net profit from cash flow hedge reserve	—	(62)	41
Transfers to asset carrying value from cash flow hedge reserve	—	—	(26)
Net translation (loss)/gain on investment in foreign operations	—	(13)	19
Transfer of translation loss on investment to net profit upon disposal of subsidiaries	—	—	5
Changes in cost of hedging reserve	—	(4)	(2)
Taxation on above reserve movements	—	33	(5)
Share of equity accounted associates' reserves (net of taxation)	—	(26)	(50)
Cessation of equity accounting	—	70	—
Total items that may be reclassified subsequently to profit or loss	—	(54)	5
Total Other Comprehensive Income for the Year	—	—	(62)
Total Comprehensive Income for the Year	**—**	**—**	**401**

Statement of Changes in Equity

	NOTES	SHARE CAPITAL $M	HEDGE RESERVES $M	INVESTMENT REVALUATION RESERVE $M	FOREIGN CURRENCY TRANSLATION RESERVE $M	GENERAL RESERVES $M	TOTAL EQUITY $M
Balance as at 1 July 2015	—	2,286	74	—	(44)	(351)	1,965
Net profit for the year	—	—	—	—	—	463	463
Other comprehensive income for t...	—	—	(83)	—	29	(8)	(62)
Total Comprehensive Income for t...	—	—	(83)	—	29	455	401
Equity-settled share-based payme...	19	5	—	—	—	—	5
Equity settlements of long-term in...	19	(39)	—	—	—	—	(39)
Dividends on Ordinary Shares	18	—	—	—	—	(219)	(219)
Share of equity accounted associa...	—	—	—	—	—	(1)	(1)
Cessation of equity accounting	—	—	—	—	—	(4)	(4)
Total Transactions with Owners	—	(34)	—	—	—	(224)	(258)
Balance as at 30 June 2016	**—**	**2,252**	**(9)**	**—**	**(15)**	**(120)**	**2,108**

Statement of Financial Position

	NOTES	2025$M	2024$M
CURRENT ASSETS			
Bank and short-term deposits	6	1,594	1,321
Trade and other receivables	7	61	51
Inventories	8	103	120
Derivative financial assets	24	—	3
Investment in quoted equity instruments	9	22	—
Other assets	10	160	151
Total Current Assets	**—**	**2,339**	**1,982**
NON-CURRENT ASSETS			
Trade and other receivables	7	61	51
Property	—	11	4,485
Intangible assets	12	127	102
Investments in other entities	13	79	425
Derivative financial assets	24	—	3
Other assets	10	160	151
Total Non-Current Assets	**—**	**4,912**	**4,793**
Total Assets	**—**	**7,251**	**6,775**
CURRENT LIABILITIES			
Trade and other payables	—	453	448
Revenue in advance	14	161	150
Interest-bearing liabilities	15	2,103	2,069
Derivative financial liabilities	24	4	1
Provisions	16	216	217
Income taxation	—	54	20
Other liabilities	17	24	17
Total Current Liabilities	**—**	**2,471**	**2,128**
NON-CURRENT LIABILITIES			
Revenue in advance	14	161	150
Interest-bearing liabilities	15	2,103	2,069
Derivative financial liabilities	24	4	1
Provisions	16	216	217
Other liabilities	17	24	17
Deferred taxation	4	164	228
Total Non-Current Liabilities	**—**	**2,672**	**2,682**
Total Liabilities	**—**	**5,143**	**4,810**
Net Assets	**—**	**2,108**	**1,965**
Equity	—	—	—
Share capital	19	2,252	2,286
Reserves	20	(144)	(321)
Total Equity	**—**	**2,108**	**1,965**

Statement of Cashflows

	2025 ($M)	2024 ($M)
	—	—
CASH FLOWS FROM OPERATING ACTIVITIES		
Receipts from customers	5,290	4,994
Payments to suppliers and employees	(3,969)	(3,698)
Income tax paid	(185)	(170)
Interest paid	(96)	(98)
Interest received	56	55
Net Cash Flow from Operating Activities	**1,074**	**1,100**
	—	—
CASH FLOWS FROM INVESTING ACTIVITIES		
Disposal of property	—	—
Disposal of investments in quoted equity instruments	281	—
Acquisition of property	—	(998)
Net Cash Flow from Investing Activities	**(797)**	**(1,066)**
	—	—
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest-bearing liabilities drawdowns	564	576
Interest-bearing liabilities payments	(344)	(327)
Dividends on Ordinary Shares	(230)	(258)
Net Cash Flow from Financing Activities	**(4)**	**53**
	—	—
Increase in Cash and Cash Equivalents	**273**	**87**
Cash and cash equivalents at beginning of year	1,321	1,234
Cash and Cash Equivalents at End of Year	**1,594**	**1,321**

Statement of Accounting Policies

Reporting Entity

The financial statements presented are those of the consolidated Toy Story Airways Group, including the parent company and its subsidiaries, joint ventures and associates.

The Group's primary business is the transportation of passengers and cargo on scheduled airline services.

Basis of Preparation

The financial statements have been prepared in accordance with applicable accounting standards and give a true and fair view of the financial position of the Group as at 30 June 2025 and the results of its operations and cash flows for the year then ended.

They are prepared on the historical cost basis, with the exception of certain items carried at fair value as identified in specific accounting policies.

Significant Accounting Policies

Basis of Consolidation

The consolidated financial statements include the results of the parent company and its subsidiaries using the acquisition method. Investments in associates and joint ventures are accounted for using the equity method.

Foreign Currency Translation

Foreign currency transactions are translated at exchange rates approximating those ruling at the transaction date. Monetary assets and liabilities denominated in foreign currencies are translated at the closing rate at balance date. Exchange differences are recognised in profit or loss unless deferred in equity as qualifying cash flow hedges.

Revenue Recognition

Passenger and cargo revenue is recognised when the carriage is performed. Amounts received in advance are recorded as revenue in advance. Loyalty programme revenue is deferred until points are redeemed.

Property, Plant and Equipment

Property, plant and equipment are stated at cost less accumulated depreciation and impairment losses. Depreciation is calculated on a straight-line basis over the expected useful lives of the assets. Aircraft residual values and useful lives are reviewed annually.

Impairment

Non-financial assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

Leases

Leases under which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. All other leases are classified as operating leases.

Use of Accounting Estimates and Judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses.

Key areas of estimation include:

- Revenue in advance and loyalty programme breakage rates
- Residual values and useful lives of aircraft and related assets
- Impairment of non-financial assets
- Provisions for aircraft lease returns and legal claims
- Taxation and deferred tax balances

These accounting policies have been consistently applied to all periods presented, except as otherwise disclosed. The accompanying notes form an integral part of these financial statements.

Note 1: Revenue Recognition and Segmental Information

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when payment is made. Revenue is measured at the fair value of the consideration received or receivable.

Passenger and Cargo Revenue

Passenger and cargo sales revenue is recognised in revenue in advance at the fair value of the consideration received. Amounts are transferred to revenue when the actual carriage is performed. Unused tickets are recognised using estimates based on ticket terms and historical trends.

The Group operates various code share and alliance arrangements. Revenue under these arrangements is recognised when the Group performs the carriage or fulfils all relevant contractual commitments.

Loyalty Programmes

The fair value of revenues associated with loyalty points awarded as part of initial sales is deferred to revenue in advance, net of estimated expiry, until redemption. The estimate of expiry is based on historical experience.

Contract Services Revenue

Contract services revenue is recognised by reference to the stage of completion when reliably measurable. Other contract revenue is recognised as services are performed.

Other Revenue

Other revenue includes lounge revenue, membership subscriptions, commissions and fees. It is recognised when the service is provided. Dividend revenue is recognised when the right to receive payment is established.

Finance Income

Interest revenue from investments and fixed deposits is recognised as it accrues using the effective interest method where appropriate.

Segmental Information

The Group operates predominantly in one segment: the transportation of passengers and cargo on an integrated network of scheduled services. Resource allocation decisions across the network are made to optimise the Group's overall financial result.

Note: Our fleet is deployed across the worldwide network. There is no reasonable basis for allocating assets to specific geographical segments.

Analysis of revenue by geographical region of original sale

	2025 ($M)	2024 ($M)
Domestic	2,981	2,917
Australia and Pacific Islands	619	639
United Kingdom and Europe	330	286
Asia	470	381
America	831	702
Total Operating Revenue	5,231	4,925

The principal non-current assets of the Group are the aircraft fleet which is registered in New Zealand and employed across the worldwide network. Accordingly, there is no reasonable basis for allocating the assets to geographical segments.

Notes to the Financial Statements (continued)

As at 30 June 2025

Note 2: Expenses

Additional information in respect of expenses included within the Statement of Financial Performance is as follows:

* Other fees were paid for tax compliance work of $20k (2024: $17k), Greenhouse Gas inventory review and sustainability reporting of $40k, resources provided for IT controls review of $23k, employee speak-up line service of $42k (2024: $25k), student fee protection audit of $5k (2024: $4k) and other HR consultancy services of $85k (2024: business roadmapping services of $190k).

Note 3: Other Significant Items

Other significant items are items of revenue or expenditure which due to their size and nature warrant separate disclosure to assist with the understanding of the financial performance of the Group.

Upon loss of significant influence over an associated company, the Group measures the retained interest at fair value. At the date of cessation of equity accounting, the difference between the carrying amount of the equity accounted investment and the fair value of the investment, together with amounts previously recognised in equity reserves are recognised as a gain or loss on cessation of equity accounting in the Statement of Financial Performance.

Note 4: Taxation

Current and deferred taxation are calculated on the basis of tax rates enacted or substantively enacted at reporting date, and are recognised in the income statement except when the tax relates to items charged or credited to other comprehensive income, in which case the tax is also recognised in other comprehensive income.

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Deferred income taxation is recognised in respect of temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

Deferred income tax assets and unused tax losses are only recognised to the extent that it is probable that future taxable amounts will be available against which to utilise those temporary differences and losses.

Notes to the Financial Statements (continued)

4. Taxation

Taxation Schedule

	2016 $M	2015 $M
Current taxation expense - Current year	(234)	(158)
Current taxation expense - Adjustment for prior periods	(1)	(1)
Deferred taxation expense - Origination of temporary differences	35	12
Total taxation expense recognised in earnings	(200)	(147)
Reconciliation of Effective Tax Rate	—	—
Item	—	—
Earnings before taxation	663	474
Taxation at statutory rate 28%	(185)	(133)
Adjustments: Non-deductible expenses	(3)	(3)
Adjustments: Associate related	(24)	(8)
Adjustments: Non-taxable income	4	1
Adjustments: Equity settlements of long-term incentive obligations	11	—
Adjustments: Under provided in prior periods	(3)	(4)
Taxation expense	(200)	(147)

Imputation credits available: $44 million (2025) vs $54 million (2024). Deferred tax assets/liabilities are offset where they relate to the same taxation authority. No unused tax losses carried forward.

Deferred Taxation

Deferred tax assets and liabilities are attributable to the following:

	NON-AIRCRAFT ASSETS $M	AIRCRAFT RELATED $M	PROVISIONS AND ACCRUALS $M	FINANCIAL INSTRUMENTS $M	PENSION OBLIGATIONS $M	TOTAL $M
As at 1 July 2024	15	302	(98)	12	(2)	229
Amounts recognised in Othe...	—	—	—	(26)	(3)	(29)
Reclassified to Income Taxati...	—	—	—	2	—	2
Amounts recognised in earni...	(1)	(14)	(20)	—	—	(35)
As at 30 June 2024	14	299	(106)	23	(2)	228
Amounts recognised in Othe...	—	—	—	(26)	(3)	(29)
Amounts recognised in earni...	(1)	(14)	(20)	—	—	(35)
As at 30 June 2025	13	285	(126)	—	(5)	164

Deferred tax assets and liabilities are offset on the face of the Statement of Financial Position where they relate to entities within the same taxation authority. There are no unused tax losses available to carry forward against future taxable profits (30 June 2025: Nil).

Notes to the Financial Statements (continued)

5. Earnings per Share

Basic earnings per share is calculated by dividing the profit attributable to shareholders of the company by the weighted average number of ordinary shares on issue during the year, excluding shares held as treasury stock. Diluted earnings per share assumes conversion of all dilutive potential ordinary shares in determining the denominator.

Earning Per Share Schedule

	2024
Net Profit Attributable to Shareholders of the Parent Company ($M)	463
Weighted average number of Ordinary Shares for basic EPS (millions)	1,122
Effect of dilutive ordinary shares - Share options and performance rights (millions)	14
Weighted average number of Ordinary Shares for diluted EPS (millions)	1,136
Basic earnings per share (cents)	41
Diluted earnings per share (cents)	41

Note 6. Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, demand deposits, current accounts in banks net of overdrafts and other short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Cash flows are included in the Statement of Cash Flows net of Goods and Services Tax.

Cash and cash equivalents

as stated in the Statement of Cash Flows, are reconciled to the Bank and short-term deposits balance in the Statement of Financial Position as follows:

	2024 $M
Cash balances	20
Other short-term deposits and short-term bills	1,574
Total cash and cash equivalents	1,594
Reconciliation of Net Profit to Net Cash Flows from Operating Activities (summary)	—
Net profit: 463 (2016) / 327 (2015)	—

Major non-cash items include depreciation & amortisation, changes in fair value of investments, share of associates, foreign exchange, etc. Working capital movements and revenue in advance are the primary drivers.

Notes to the Financial Statements (continued)

7. Trade and Other Receivables

Trade and other receivables are recognised at cost less any provision for impairment. Bad debts are written-off when they are considered to have become uncollectable.

Independent Auditor's Report

TO THE SHAREHOLDERS OF AIR NEW ZEALAND LIMITED

Report on the Audit of the Group Financial Statements

The Auditor-General is the auditor of Air New Zealand Limited and its subsidiaries. The Auditor-General has appointed me, **Andrew Dick**, using the staff and resources of Deloitte, to carry out the audit on her behalf.

Opinion

We have audited the Group financial statements, which comprise the Statement of Financial Position as at 30 June 2016, and the Statement of Financial Performance, Statement of Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, together with the notes (including significant accounting policies).

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Group as at 30 June 2016 and its financial performance and cash flows for the year then ended in accordance with New Zealand Equivalents to International Financial Reporting Standards and International Financial Reporting Standards.

(We found no evidence of any "To Infinity and Beyond" accounting treatments.)

Basis for Opinion

We conducted our audit in accordance with the Auditor-General's Auditing Standards (which include ISAs (NZ)). We are independent of the Group and have fulfilled our ethical responsibilities.

We believe we have obtained sufficient and appropriate audit evidence. In addition to the audit, we provided taxation and interim review services, all of which are compatible with our independence. Our firm also flies with Air New Zealand on normal commercial terms — no upgrades were offered in exchange for a clean opinion.

Audit Materiality

We set quantitative materiality at $30 million, based on 5% of profit before tax (taking into account the naturally turbulent nature of the airline industry). This equates to roughly the cost of a few hundred extra economy seats or one very confused checked bag.

Key Audit Matters

The main areas we focused on were:

- Valuation of aircraft and related maintenance provisions (we confirmed the planes are not held together with duct tape and hope).
- Revenue recognition from passenger tickets and loyalty points (no frequent-flyer miles were double-counted, even for Buzz).
- Impairment testing (everything passed with flying colours — unlike some landing attempts we've seen).

Andrew Dick
Partner, Deloitte
On behalf of the Auditor-General
Auckland, New Zealand
26 August 2016

This report is for entertainment purposes only and has been lightly humourised to match the directors' profiles. All stories and jokes are cheerfully made up. In real life, auditors take everything very seriously (except runaway trolleys).

Toy Story Airways Shareholder Directory

as at 30 September 2025 • "To Infinity and Beyond!"

Registered Offices & Registrars

- **NZ Registrar:** Link Market Services Limited
- Level 11, Deloitte Centre, 80 Queen Street, Auckland 1010
- PO Box 91976, Auckland 1142
- **Phone:** (64 9) 375 5998
- **Fax:** (64 9) 375 5990
- **Email:** enquiries@linkmarketservices.co.nz

- **Australia Registrar:** Link Market Services Limited
- Level 12, 680 George Street, Sydney 2000
- Locked Bag A14, Sydney South NSW 1235
- **Phone:** 1300 554 474
- **Fax:** (61 2) 9287 0303

Head Offices

- **NZ Head Office:** Toy Story Airways Limited
- 185 Fanshawe Street, Auckland 1010
- Postal: Private Bag 92007, Auckland 1142
- **Phone:** (64 9) 336 2400
- **Fax:** (64 9) 336 2401
- **NZBN:** 9429040402543

- **Australia Office:** Toy Story Airways Limited
- Level 12, 7 Macquarie Place, Sydney NSW 2000
- Postal: GPO 3923, Sydney NSW 2000
- **Phone:** (61 2) 8235 9999
- **Fax:** (61 2) 8235 9946
- **ABN:** 70 000 312 685

Investor Relations

- **Postal:** Private Bag 92007, Auckland 1142
- **NZ Phone:** 0800 22 22 18
- **Overseas:** (64 9) 336 2607
- **Fax:** (64 9) 336 2664
- **Email:** investor@toystoryairways.co.nz
- **Website:** www.toystoryairways.com/investor

Annual Meeting

- **Date:** 30 September 2025
- **Time:** 2:00 pm
- **Venue:** Air Force Museum of New Zealand
- 45 Harvard Avenue, Wigram, Christchurch

Board of Directors

- **Sheriff Woody Pride** – Chairman
- **Buzz Lightyear** – Deputy Chairman
- Mr. Potato Head • Slinky Dog • Rex • Jessie • Hamm

Executive Team

- **CEO:** Buzz Lightyear
- **CFO:** Hamm
- **Gen. Counsel & Secretary:** Sheriff Woody Pride

Credit Rating & Auditor

- **Credit Rating:** Moody's A3 (Stable)
- **Auditor:** Deloitte (on behalf of Auditor-General)
- Deloitte Centre, 80 Queen Street, Auckland Central

This Shareholder Directory has been prepared as at 30 September 2025. For the most up-to-date information, please contact our Investor Relations team or visit our website.

Directors Holding Office as at 30 June 2025

Sheriff Woody Pride BE (HONS), ME, M.PHIL

Chairman – Independent Non-Executive Director
Appointed 1 December 2010

Committees: Audit • People, Remuneration and Diversity • Health, Safety and Security

Sheriff Woody is Chairman of SparkleMed Healthcare Limited, a director of Horizon Construction Limited and Pacific Star Bank Limited, and Independent Chairman of Infinity Blues LLP.

He attended the University of Southern Hills where he studied chemical engineering, graduating with a Bachelor in Engineering with honours and a Masters in Engineering in 1980. He then went on to study at Riverside University of Technology in the United Kingdom and graduated in 1982 with a Master of Philosophy degree.

Woody worked for his family company, Pride Group Limited, in Christchurch until 1986 when he purchased a Hammer & Nail hardware store, also eventually serving as a director of Hammer & Nail New Zealand Limited and becoming Chairman of Hammer & Nail New Zealand Limited in 1993 after a legendary standoff with a runaway nail gun.

In 1994 Mr Pride was appointed General Manager and Chief Executive designate of FreshMart (South Island) Limited. In 1995 he was appointed Chief Executive of FreshMart (South Island) Limited and in 2001 was appointed Managing Director of FreshMart (Auckland) Limited and Managing Director of FreshMart (New Zealand) Limited, until he retired in December 2010. The FreshMart Group is New Zealand’s largest retail organisation – though Woody claims he mostly just herded shopping trolleys with perfect precision.

Buzz Lightyear CNZM, BCOM, FCA

Deputy Chairman – Independent Non-Executive Director
Appointed 1 April 2011

Committees: Audit (Chair) • People, Remuneration and Diversity

Buzz is Chairman of Galaxy Finance New Zealand Limited and a director of Shield Insurance New Zealand Limited, Apex Engineering Group Limited, and Horizon Energy Limited. Buzz is a member of the University of Southern Hills Council, the Capital Investment Committee of the National Health Board and a Trustee of the Coastal Heritage Museum (where he once attempted a vertical takeoff from the harbour).

Buzz was a partner of Horizon Audit Partners for 30 years, specialising in audit and risk advisory, and the Chair and Chief Executive of Horizon Audit New Zealand from 2006 until 2011. During this time he famously audited several toy factories with “laser-focused” precision.

Buzz holds a Bachelor of Commerce from the University of Southern Hills. He is a Fellow of the New Zealand Institute of Chartered Accountants, a Fellow of the Institute of Directors in New Zealand, a Paul Harris Fellow and a North Shore Business Hall of Fame Laureate (2010). Buzz was named Chartered Accountant of the Year in 2011 – an award he accepted while shouting “To Infinity and Beyond!”

Mr. Potato Head BCOM

Independent Non-Executive Director
Appointed 1 July 2008

Committees: Health, Safety and Security

Mr. Potato Head is Director and Chief Operating Officer of RocketRock Limited, a software platform which partners with businesses to bring customer content into their digital channels. He is also Chair of Black Pearl Cruises 2007 Limited, a tourism cruise operation based at Banks Peninsula, near Christchurch and a Director of Southern Adventures Tourism Limited.

His tourism background includes senior marketing roles at Adventure Holdings Limited and Pacific Wings Limited, and he is a previous director of National Tourism Board and Chair of Christchurch & Canterbury Tourism. Mr. Potato Head was a winner of the PATA Young Professional award after inventing the detachable-ear customer feedback system.

Across a 23 year career he has worked in the UK, USA, Singapore and New Zealand, often losing and re-attaching various body parts along the way.

The Directors’ profiles above have been prepared as at 30 June 2025. The accompanying notes form an integral part of these financial statements.

Diversity and Inclusion

Toy Story Airways continues to make strong progress delivering on our diversity and inclusion objectives. Our focus remains on increasing **toy-type representation** across the airline, particularly boosting the number of heroines, dinosaurs, spacemen and other non-traditional characters in leadership positions. We are also strengthening cultural and species diversity to ensure our crew and ground team truly reflect the wonderful variety of our passengers – from cowboys and space rangers to dinosaurs, potato heads, and everything in between.

As an international airline that flies “To Infinity and Beyond”, we believe an open, fun and inclusive culture will deliver superior business results in our existing routes and help us boldly explore new destinations.

There are four strategic areas guiding our diversity and inclusion journey:

1. Creating an inclusive and collaborative culture;
2. Growing inclusive leadership capability;
3. Building a diverse workforce; and
4. Growing diverse talent pools.

Creating an Inclusive and Collaborative Culture

We have continued to increase awareness through fun celebrations of special events including Toy Story Day, Space Ranger Week, Cowboy Roundup Festival, Alien Appreciation Parade, Dinosaur Discovery Week, and Woody’s Howdy Language Week.

To effectively monitor our progress we collect and report on up-to-date diversity data through:

- Our employee information system at the recruitment stage, where team members can proudly declare their toy type and additional character-related information;
- Our annual engagement survey, which now includes fun diversity questions about toy species and origins;
- Our talent management system, where employees can identify the toy networks and clubs they belong to (Cowboy Crew, Space Rangers, Dinosaur Division, etc.).

In the 2017 financial year we will introduce key metrics and a colourful diversity dashboard to better understand our opportunities and set priorities for future inclusion adventures.

Growing Inclusive Leadership Capability

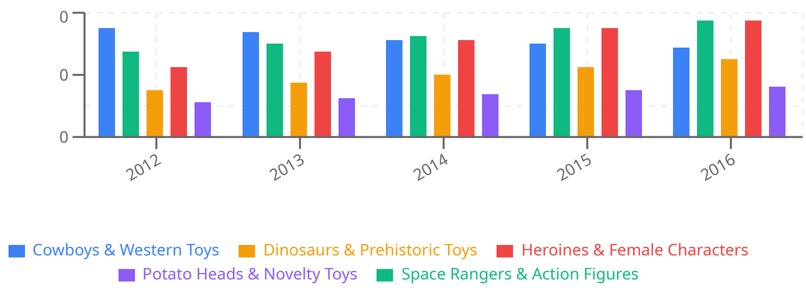
In 2015 we introduced an “Unconscious Bias” module into our Recruitment Excellence training – helping leaders look beyond whether someone is plastic, plush, wooden, or action-figure. We also rolled out unconscious bias workshops for our senior leaders and added bias-busting elements into our foundational leadership programme.

We offer personalised coaching on toy-friendly communication and cultural protocols for Executive members and senior leaders. In August 2016 we launched cultural fluency training for key leaders – a special three-day “Toy Story Wananga” experience.

Building a Diverse Workforce

We maintain a strong focus on toy-type diversity across all areas of the airline. As shown in the table below, we have seen a steady increase in representation of different toy types year on year from 2012 across many levels of the organisation.

Our key focus continues to be increasing heroines, dinosaurs and spacemen in senior leadership roles. As of 30 June 2016 we have made solid progress toward our goal of a more balanced toy-type mix at every level.



Corporate Governance

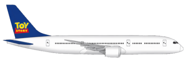
This section of the Annual Report provides an overview of Toy Story's main corporate governance policies, practices and processes adopted and followed by the Board of Toy Story. This Corporate Governance Statement was approved by the Board on 25 August 2016. More information is available to view at www.toystoryinvestor.com, including policies referred to in this section.

Ethical standards

Toy Story expects its directors and employees to act legally, ethically and with integrity in a manner consistent with Toy Story's policies, guiding principles and values. The following measures have been put in place to assist with achieving this expectation:

- **Code of Conduct**
- This guide has been developed by the Group summarising the basic principles of legal and ethical conduct expected of everyone at
- Toy Story. The Code of Conduct can be found at: http://www.toystory.com/corporate-governance-policies.
- **Open Communication and Just Culture**
- The Group has a policy on Open Communication and Just Culture to encourage open and honest communication by staff about any current
- or potential problem, complaint, suggestion, concern or question.
- **Avoiding Conflicts of Interest**
- To maintain integrity in decision making each director must advise the Board of any potential conflict of interest. If a conflict of interest exists
- the director concerned will have no involvement in the decision making process relating to that matter.
- **Continuous Disclosure and Trading in Securities**
- Directors and employees of Toy Story are subject to limitations on their ability to buy or sell Toy Story shares in accordance
- with Toy Story's Securities Trading Policy, the NZSX and ASX Listing Rules and the Financial Markets Conduct Act 2013. This policy
- has been updated to reflect recent legislative changes. Toy Story has a policy on Continuous Disclosure requirements available at:
- http://www.toystory.com/corporate-governance-policies.
- **Gifts, Entertainment and Inducements**
- Toy Story has a gifts, entertainment and inducements policy governing the acceptance and reporting of benefits offered or given to
- staff by third parties.
- **Donations**
- The Toy Story Group has made donations totalling $58,944 in the financial year to 30 June 2016, including donations primarily
- to the Toy Story Environmental Trust. No donations were made to any political party. It is Toy Story's policy not to make
- donations, in cash or in kind, or to provide free of charge travel to political parties.
- **Interests Register**
- In accordance with the Financial Markets Conduct Act 2013, Toy Story maintains an interests register in which relevant transactions and
- matters involving the directors and senior managers are recorded.

Toy Story Airlines — Fleet Overview

	AIRCRAFT TYPE	FLEET	AVG AGE	PAX	SPEED	DAILY UTIL.
	**Boeing 777-300ER**	7	6.1 years	**332**	910 km/h	13h 20m
	**Boeing 777-200ER**	8	9.8 years	**312**	910 km/h	12h 05m
	**Boeing 787-9 Dreamliner**	6	3.4 years	**302**	910 km/h	15h 10m
	**Boeing 767-300ER**	4	19.7 years	**230**	870 km/h	9h 15m
	**ATR 72-500 / 72-600**	24	2.3–14.2 yrs	**68**	518 km/h	7h 25m
	**Bombardier Q300**	23	8.7 years	**50**	520 km/h	6h 10m
	**Beech 1900D**	3	13.5 years	**19**	510 km/h	4h 40m